

# Credit Memorandum — UnitedHealth Group Incorporated

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**TO:** Credit Committee, Healthcare Lending Desk

**FROM:** Senior Credit Analyst, Healthcare Lending Desk

**DATE:** May 2026

**RE:** Annual Credit Review — UnitedHealth Group Incorporated (NYSE: UNH) — \$2.5 Billion Revolving Credit Facility

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RE: Annual Credit Review — UnitedHealth Group Incorporated (NYSE: UNH) — \$2.5 Billion Revolving Credit Facility

This memorandum presents the annual credit assessment of UnitedHealth Group Incorporated ("UNH" or the "Company") in connection with the renewal of the bank's \$2.5 billion revolving credit facility. The analysis draws on UNH's Q1 2026 10-Q filing, historical quarterly financial data from Q1 2025 through Q1 2026, and recent SEC filing activity. The purpose of this review is to evaluate the Company's creditworthiness, financial trajectory, and risk profile to inform the committee's decision on facility renewal terms, covenants, and pricing.

### Executive Summary

Credit Recommendation: APPROVE RENEWAL WITH MODIFICATIONS. Based on our analysis of UnitedHealth Group's financial performance through Q1 2026, we recommend renewing the revolving credit facility with enhanced covenant protections and a modest pricing adjustment to reflect the Company's evolving risk profile.

UnitedHealth Group reported Q1 2026 revenues of \$111.7 billion, representing a 2.0% increase from Q1 2025 revenues of \$109.6 billion. The Company's Q1 2026 diluted earnings per share were \$6.90, compared to \$6.85 in Q1 2025, reflecting continued earnings stability. Net income for Q1 2026 was \$6.28 billion, essentially flat compared to \$6.29 billion in Q1 2025.

Full year 2025 revenues totaled \$447.6 billion with operating income of \$19.0 billion, yielding an operating margin of approximately 4.2%. The Company's balance sheet remains strong with total assets of \$312.6 billion as of Q1 2026, supported by \$28.0 billion in cash and cash equivalents, up from \$24.4 billion at year-end 2025.

However, the analysis reveals areas of concern including declining operating income from Q1 2025 (\$9.1 billion) to Q3 2025 (\$4.3 billion single-quarter) before recovering in Q1 2026 (\$9.0 billion), elevated SG&A expense growth, and a liability-to-asset ratio that warrants monitoring. These factors support the recommendation for enhanced covenant protections as part of the renewal.

## Financial Performance Analysis

**Revenue Trend Analysis:** UnitedHealth Group has demonstrated consistent top-line growth across the analysis period. Q2 2025 revenues were \$111.6 billion, followed by Q3 2025 revenues of \$113.2 billion, representing a 1.4% quarter-over-quarter increase. Q1 2026 revenues of \$111.7 billion reflected a seasonal pattern but maintained year-over-year growth of 2.0% compared to Q1 2025's \$109.6 billion. Full year 2025 revenues of \$447.6 billion confirm the Company's position as the largest U.S. health insurer by revenue.

**Operating Income and Margin Analysis:** Operating income showed significant quarterly volatility during the period under review. Q1 2025 operating income was \$9.1 billion (8.3% margin), declining to \$5.2 billion in Q2 2025 (4.6% margin) and further to \$4.3 billion in Q3 2025 (3.8% margin). Q1 2026 operating income recovered to \$9.0 billion, maintaining an 8.0% margin. The full year 2025 operating income of \$19.0 billion represented a 4.2% operating margin, reflecting the depressed middle quarters. This volatility represents a key credit concern as it signals potential pricing pressure or medical cost inflation in the core insurance business.

**Cost Structure Analysis:** Cost of goods and services sold as a percentage of revenue remained relatively stable, at 11.3% in Q1 2025, 11.7% in Q2 2025, 11.1% in Q3 2025, and 11.5% in Q1 2026. However, SG&A expenses as a percentage of revenue increased from 12.4% in Q1 2025 to 12.3% in Q2 2025, 13.5% in Q3 2025, and 13.8% in Q1 2026. The rising SG&A ratio suggests increasing operational complexity and administrative burden, which partially explains the operating margin compression observed in mid-2025.

**Net Income and EPS Trends:** Net income followed a similar pattern to operating income. Q1 2025 net income was \$6.29 billion (\$6.85 diluted EPS), declining to \$3.41 billion (\$3.74 EPS) in Q2 2025 and \$2.35 billion (\$2.59 EPS) in Q3 2025. Q1 2026 net income recovered to \$6.28 billion (\$6.90 EPS). The year-over-year comparison shows essentially flat net income but a modest EPS improvement, reflecting share repurchase activity. Full year 2025 diluted EPS of \$13.23 is calculated from the annual net income of \$12.06 billion. The significant quarterly earnings volatility in Q2 and Q3 2025 warrants close monitoring.

## Balance Sheet and Liquidity Assessment

**Leverage Analysis:** As of Q1 2026, UnitedHealth Group reported total assets of \$312.6 billion against total liabilities of \$207.3 billion, yielding a liability-to-asset ratio of 66.3%. This compares to a year-end 2025 ratio of 67.1% (liabilities of \$207.9 billion on assets of \$309.6

billion). The slight improvement in leverage is encouraging, though the ratio remains elevated relative to non-financial corporations. Stockholders' equity was not separately reported for the most recent quarters in the available data, but can be derived as approximately \$105.3 billion at Q1 2026 (\$312.6B - \$207.3B), representing an implied debt-to-equity ratio of approximately 1.97x.

**Cash and Liquidity Position:** Cash and cash equivalents showed a strengthening trend, rising from \$24.4 billion at year-end 2025 to \$28.0 billion at Q1 2026, a 15.0% increase. Historical cash balances were \$30.7 billion at Q1 2025, \$28.6 billion at Q2 2025, and \$27.2 billion at Q3 2025, indicating seasonal deployment of cash during 2025 followed by accumulation in early 2026. The current cash position of \$28.0 billion represents approximately 25% of quarterly revenues, providing substantial liquidity buffer. Cash as a percentage of total assets was 9.0% at Q1 2026, up from 7.9% at year-end 2025.

**Working Capital and Financial Flexibility:** The Company's asset base of \$312.6 billion provides significant financial flexibility. The improvement in cash balances from year-end 2025 to Q1 2026, combined with the slight reduction in the liability-to-asset ratio, suggests improving financial management. However, the absolute level of liabilities at \$207.3 billion remains substantial and requires ongoing monitoring. The Company's ability to generate consistent cash flows from its diversified healthcare operations supports its liquidity profile, though the quarterly earnings volatility observed in 2025 introduces uncertainty into forward cash flow projections.

## Risk Factor Analysis

**Primary Credit Risks:** Based on our analysis, we identify three principal credit risks for the facility: (1) Operating Margin Volatility — the decline in quarterly operating margins from 8.3% in Q1 2025 to 3.8% in Q3 2025 before recovery to 8.0% in Q1 2026 demonstrates significant earnings instability that could impair debt service capacity under stress scenarios; (2) SG&A Expense Growth — SG&A expenses grew from \$13.6 billion in Q1 2025 to \$15.4 billion in Q1 2026, a 13.2% increase that outpaced revenue growth of 2.0%, suggesting deteriorating operational efficiency; (3) Scale and Concentration Risk — as the largest U.S. health insurer with \$447.6 billion in annual revenues, UNH faces heightened regulatory scrutiny and potential adverse policy changes that could impact its business model.

**Concentration Risk Assessment:** UnitedHealth Group's revenue concentration in the U.S. healthcare insurance market presents both strengths and vulnerabilities. The Company's massive scale (\$447.6 billion FY2025 revenue) provides negotiating leverage with healthcare providers but also makes it a prominent target for regulatory intervention. The healthcare insurance sector faces ongoing policy uncertainty, including potential changes to Medicare Advantage reimbursement rates, pharmacy benefit manager (PBM) regulations, and antitrust enforcement actions.

**Scenario Analysis — Upside Case:** In an upside scenario, UNH successfully manages medical cost ratios, realizes operational efficiencies to control SG&A growth, and benefits from favorable demographic trends (aging U.S. population). Under this scenario, operating margins recover to the 7-8% range consistently, cash flows strengthen, and the credit profile improves. The Q1 2026 operating income of \$9.0 billion and net income of \$6.28 billion represent positive indicators.

Scenario Analysis — Downside Case: In a downside scenario, medical cost inflation accelerates, regulatory actions constrain pricing flexibility, and SG&A expenses continue to grow faster than revenues. The Q2-Q3 2025 operating margin compression (4.6% and 3.8% respectively) provides a recent stress reference. Under this scenario, operating income could decline to the \$4-5 billion quarterly range, straining cash flows and potentially triggering covenant concerns. The significant decline in Q3 2025 single-quarter operating income to \$4.3 billion from Q1 2025's \$9.1 billion illustrates the downside potential.

### Covenant and Terms Recommendation

Recommended Financial Covenants: Based on UNH's current financial profile, we recommend the following covenants for the renewed facility: (1) Maximum Leverage Ratio — total liabilities to total assets not to exceed 70%, providing adequate headroom above the current 66.3% ratio; (2) Minimum Interest Coverage — operating income to interest expense of at least 5.0x (interest expense data not available in the current package, but the covenant structure should be established); (3) Minimum Liquidity — cash and cash equivalents of at least \$15.0 billion, providing a floor well below the current \$28.0 billion but above potential stress levels; (4) Maximum Quarterly Operating Income Variance — no single quarter's operating income to fall below 50% of the trailing four-quarter average, addressing the volatility observed in 2025.

Pricing Recommendation: We recommend a modest pricing increase of 10-15 basis points on the revolving credit facility to reflect: (a) the operating margin volatility observed in Q2-Q3 2025, (b) the elevated SG&A growth trajectory, and (c) sector-specific regulatory uncertainties. The current all-in pricing should be adjusted from the existing spread to LIBOR/SOFR plus the recommended increase. This adjustment is consistent with the enhanced risk profile while remaining competitive for a borrower of UNH's scale and market position.

Amendment Requirements: As conditions of renewal, we recommend: (1) Quarterly reporting of operating income by segment (UnitedHealthcare and Optum) to enable more granular credit monitoring; (2) Enhanced disclosure requirements for medical cost trends and SG&A breakdown; (3) Annual stress testing submission demonstrating covenant compliance under downside scenarios consistent with the Q2-Q3 2025 margin compression experienced during the period; (4) Modification of any existing material adverse change clauses to include specific reference to operating margin thresholds.

Overall Credit Assessment: UnitedHealth Group remains a fundamentally sound credit given its market-leading position, substantial asset base of \$312.6 billion, strong cash position of \$28.0 billion, and consistent revenue generation exceeding \$100 billion per quarter. The Company's Q1 2026 performance demonstrates recovery from the mid-2025 weakness. However, the operating margin volatility and SG&A growth trajectory warrant enhanced protections. We recommend approval of the facility renewal with the modifications outlined above, which balance the Company's fundamental credit strength against the identified risk factors.